

new hospital beds domestically by 2030, largely in Tier II and Tier III cities, to serve the growing influx of international medical travellers. India's diagnostics market is also creating stronger, tech-enabled national networks to improve access. Once a fragmented mix of regional labs, it is consolidating fast. According to MarketWatch, the sector stood at ₹1.54 lakh crore in FY24 and is projected to grow at 11–12% CAGR, nearly doubling by 2030. Large players like Dr Lal PathLabs, Metropolis, and Agilus Diagnostics are investing in AI-powered diagnostics, digital pathology, and doorstep testing models. Experts are calling for quality standards to make the efforts a success. "Today, the absence of uniform standards means that care quality can vary dramatically across providers, often leaving patients underserved. To lead globally, we need a robust regulatory ecosystem that enforces minimum quality benchmarks for all players—from pharma and hospitals to diagnostics, digital health, and start-ups," says Ameera Shah, Promoter and Executive Chairperson, Metropolis Healthcare Ltd.

Digital infrastructure could also become India's single biggest healthcare export. Data from healthcare technology platform Practo shows teleconsultations stood at just 5,50,000 in 2019. However, the pandemic dramatically accelerated adoption, with consultations rising to over 2.4 million by 2023 on Practo alone. Nationally, digital consultations accounted for around 11% of outpatient visits in 2019, and peaked at nearly 46% during the pandemic. "AI will enable faster, more accurate diagnoses to transform how care is delivered across geographies and income levels," says Bharath Sesha, Managing Director, Philips Indian Subcontinent. "We have the data, the talent, the entrepreneurial energy, and a growing policy push. If we invest right and innovate responsibly, India could become a global benchmark in digital health."

The vision of transforming India's

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"With a surge in med-tech innovation, and a shift toward wellness, India will become the global epicentre of inclusive, intelligent healthcare"

DR. SANGITA REDDY

Joint Managing Director, Apollo Hospitals



"Global companies are looking to diversify their supply chains, and India is a natural choice for its strong regulatory track record"

BHAVANI MUKUND MEHTA

Vice Chairman, Pharmexcil

healthcare sector into a global hub is being led mainly by the private sector, as India's public healthcare system, even today, remains underfunded and primarily focused on basic service delivery and population health, rather than export-oriented care or innovation. However, public initiatives like the Ayushman Bharat Digital Mission and CoWIN platform do play a supporting role by providing digital infrastructure and a universal health identity that private players can build on.

To become a global healthcare leader, India will need sustained investment not only in product innovation but also in advanced clinical trials, regulatory science, and global collaborations, shifting from being a volume-driven market to a value-led innovation hub.

In FY24, the top 10 listed Indian pharmaceutical companies collectively spent around ₹13,710 crore on R&D, accounting for nearly 5.9% of their revenues, according to GlobalData. However, this is not a dramatic jump from a decade ago. A 2023 peer-reviewed study published in the International Journal of Business Management and Allied Sciences found that in FY14, R&D intensity among leading Indian pharma firms was 5–6% of revenues—for instance, Cipla allocated 5.4% and Dr. Reddy's nearly 8.9%.

Companies like Dr. Reddy's allocated over 8% of their revenues to R&D in FY24, with a strong focus on biosimilars and small-molecule innovation. Sun Pharma, too, raised its R&D investment to 6.7% of sales in FY24, with stated plans to increase this to 8–10% over the next few years, depending on product pipeline requirements. These R&D efforts are being channelled into biologics, mRNA platforms, and novel drug delivery systems—critical areas if India hopes to evolve from a generics-led exporter to a global centre of pharmaceutical innovation. **BT**

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